Wooing Investment and Channeling It to Africa

Some of the activities of BRICS financial statecraft are not of deep interest to Pretoria or the country's various policy-attentive communities, yet South Africans understand the value of being a team player. South Africa has lined up in opposition to financial sanctions against Russia (see Case 2 in Chapter 3). Although leaders of postapartheid South Africa are appreciative of the role, however subsidiary, that Western financial sanctions played in isolating their country's previous regime, they are unwilling to endorse the use of economic or financial capabilities as an instrument for states to coerce one another. Moreover, South Africa since the early 1990s has been extremely loath to criticize its neighboring governments, and an absolute regard for Westphalian norms of sovereignty remains the core value of the continent's premiere international organization, the African Union. South African BRICS expert Francis A. Kornegay observes that "the difficult political transitions underway within the IBSA members of the BRICS . . . are compounded by the economic warfare being waged by the West against Russia's irredentism in Ukraine," a formulation that manages to criticize both sanctioner and sanctionee.[286]

Similarly, if called upon, the South African government will proclaim its support for RMB internationalization. Yet thus far, South Africa has no clearly expressed views on deepening the BRICS' monetary and financial collaboration beyond the new financial institutions created. The country's private sector also has adopted a pragmatic, yet mildly skeptical attitude toward the various BRICS business initiatives, complaining, for example, that the intergroup initiatives to liberalize trade are rather unfair to South Africa, which already has significantly lower tariff and nontariff barriers than the others and yet is being requested to reduce them further.[287] Beyond extending lip service to the BRICS' goal of redistributing global financial power, South Africa's political leaders are unlikely to either hinder or promote the relative growth in the financial and monetary capabilities of the other BRICS.

Instead, South Africa's policymakers value bringing new investment to the country and to Africa as a whole, thus enhancing economic development and, of course, its own claim to continental leadership. South Africa's most pro-BRICS commentators conceive of the new financial institutions less as a significant challenge to Western global financial